

The **PUBLIC SECTOR** in India has the potential to reinvent itself. All it needs is a jolt from the private sector.

The following two events are not from the script of a feel-good-at-the-end Bollywood production. Act I, November 28, 1977: IBM Chairman Frank T. Cary announces the withdrawal of IBM from India. This is in the context of India's ruling Janata Party mandating some degree of partial ownership for Indians. In a related event, Coca-Cola leaves India following government demands for access to the formula for Coke's syrup.

Act II, January 10, 2003: IBM India Research Laboratory (IRL) announces the launch of its Technology Centre on the IIT campus in Delhi. The centre is inaugurated by Nobel laureate and game theorist John F. Nash Jr in the presence of fellow laureate and economist Amartya Sen. IBM showcases applications involving speech recognition and text translation to Hindi.

Can India evolve, more generally, from Act I to Act II in the performance of the public sector, and in its attitude to foreign investors? Can the public sector, still largely a miasma despite pockets of outstanding human capital, reinvent itself with a catalytic jolt from the private sector?

Consider the sciences. Dusty public sector laboratories and universities are returning to life aided by unexpected visitors—business development managers from multinationals, students and researchers from international universities, young local entrepreneurs from startups and the who's who of global private equity. On paper, this could be a marriage made in heaven. Indian government laboratories were a preferred destination for talented scientists prior to 1991. Much of this talent re-



mains, but is severely underutilised. Its effervescence of ideas can affect not just India, but emerging markets all over, perhaps even the world. In the area of neglected tropical diseases, for instance, global pharmaceutical and biotech firms are making a beeline for the knowledge resident in Indian government labs. India's government-funded space and satellite programme generates world-class research. Herbal medicine is another area of heartening scientific developments—between 1976 and 2003, the Council of Scientific and Industrial Research (CSIR) was granted 33 US patents in this area, the highest in the world, followed by global majors like Procter & Gamble, L'Oreal, and Milan-based Indena. These research insights from the labs can be married with 'assets' from private players, both domestic and multinational, who offer systematisation, stewardship of intellectual property and, of course, capital. In the United States, the process of commercialisation of public science started in the early 1980s.

40 lakh

GOVERNMENT EMPLOYEES WILL BENEFIT FROM THE SIXTH PAY COMMISSION RECOMMENDATIONS. THE PAY PANEL HAS SUGGESTED AN AVERAGE HIKE OF 28 PER CENT.